

Downward Breakouts

	Bull Market	Bear Market
Reversal or continuation	Short-term bearish continuation	Short-term bearish continuation
Breakeven failure rate	45%	18%
Average drop	8%	16%
Volume trend	Downward	Downward
Percentage meeting price target	46%	54%

Small flags appear like roadkill along the price highway. You find them in a fast-moving price trend (flagpole), one that zips along for just a few days. Price pauses at the flag and then continues in the same direction as before encountering the flag (many times). That behavior is not always the case, of course, as price reversals abound, so you should wait for the breakout to be sure.

The Results Snapshot shows the performance statistics. However, I don't rank this pattern for performance because I don't measure the move to the ultimate high or low like I do with traditional chart patterns. I measure the move to the trend end (the nearest minor high or low).

The breakeven failure rates are large and get worse fast, but that's expected; I'll explain that in the Statistics section. The failure rates are not as important as how often price meets the measure rule target.

In theory, flags work as half-staff patterns, meaning they appear midway in the price trend. The Snapshot says that works around half the time. A more accurate measure, using two pattern configurations, says the flag appears later in the price trend than midway except for one case (see [Table 34.12](#)).

Tour

[Figure 34.1](#) shows a good example of a flag in a short-term downward price trend. The flag is bounded by two parallel trendlines and is no more than 3 weeks long (often as short as a few days).